

The world in brief

Catch up quickly on the global stories that matter



Photograph: Getty Images

Pete Hegseth, **America's** secretary of war, said that hundreds of commercial ships were “lining up” to transit the [Strait of Hormuz](#). On Sunday Donald Trump announced that America would begin to “guide” neutral ships through the strait. Iran and America then exchanged strikes. Only two American commercial ships and destroyers have transited the strait so far.

Iran's foreign minister, Abbas Araghchi, will visit **China** from Wednesday to discuss the conflict in the Middle East. [China](#) has so far offered Iran little by way of serious economic, diplomatic or military aid, but Mr Araghchi will hope his trip can garner more support. Mr Trump also plans to visit the country for a high-stakes state visit from May 14th.

Britain's long-term borrowing costs hit their highest level since 1998. Investors worry that the crisis in the Strait of Hormuz will result in a long period of high inflation. Thirty-year gilt yields rose by 0.19 percentage points to as much as 5.79%; ten-year yields climbed to 5.11%, just below a recent 18-year high, as investors bet that the Bank of England will raise interest rates.

America's **Securities and Exchange Commission** proposed scrapping a requirement for public companies to report **quarterly**

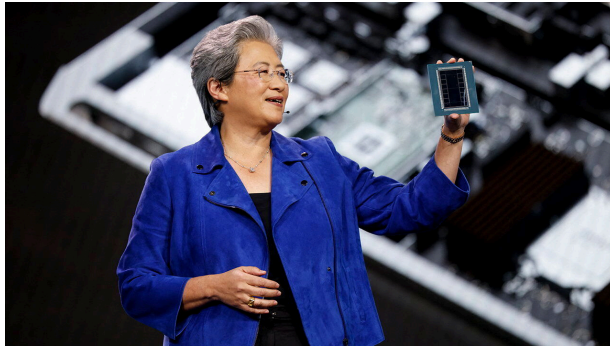
earnings, instead allowing them to file twice a year. Mr Trump [floated the idea](#) last year and during his first term. The regulator's chair said the "rigidity" of the current rules may be inhibiting businesses and investors. The SEC will vote on the rule after a 60-day public-comment period.

Romania's government collapsed after parliament passed a vote of no confidence in Ilie Bolojan, the centre-right prime minister. Frustrated by Mr Bolojan's austerity policies, the centre-left Social Democratic Party (PSD) quit the ruling coalition of mainstream parties in April and allied with the country's leading far-right outfit in order to topple him. Political instability will threaten the country's unstable economic outlook.

Sir Keir Starmer, Britain's prime minister, suggested his government would investigate whether Iran had orchestrated a string of recent attacks on London's **Jewish community**. Last week two Jewish men were [stabbed in North London](#). Sir Keir warned of "consequences" if foreign actors are found to have been involved in the violence. He promised new laws and funding to tackle rising antisemitism.

Five **publishers**, including Hachette and Macmillan, filed a class-action lawsuit against **Meta**, accusing the technology giant of lifting [copyrighted material](#) from pirated websites to train its artificial-intelligence platform, Llama. Meta said that using copyrighted text for this purpose is "fair use" and that it would fight the lawsuit "aggressively". Authors have previously sued the company for similar reasons.

Figure of the day: \$1,500, the price Rwanda charges per person to see its mountain gorillas. [Read our report](#) on how to save the safari.



Photograph: Getty Images

AMD is thriving in Nvidia's shadow

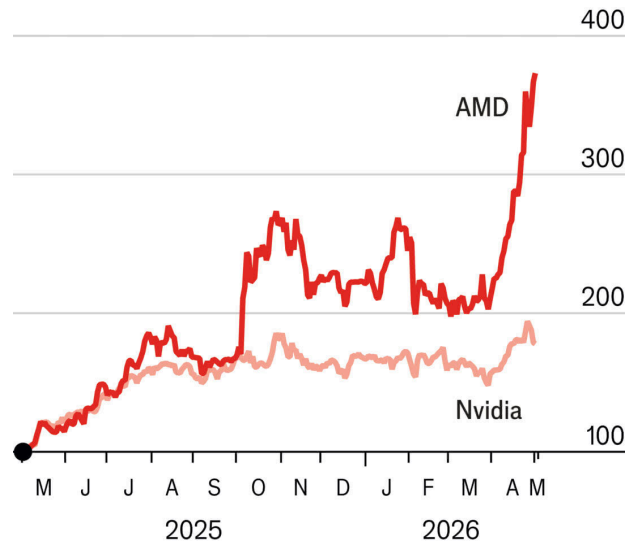
The share price of AMD, an American chip designer that reports first-quarter earnings on Tuesday, has risen by 270% over the past year. That is more than three times the rise of [Nvidia](#), its bigger rival.

AMD's flourishing fortune rests on two types of chips. The rise of "agentic" AI—software that uses reason to solve problems and perform complex tasks—has renewed demand for central processing units used in PCs and servers. AMD accounts for about a third of the market for CPUs used in data centres.

The second is specialist AI chips, where Nvidia remains dominant. AMD's offerings are narrower, but it is winning business through creative dealmaking. In February it reached a multi-year agreement with Meta, a social-media giant, to sell processors representing around six gigawatts of computing capacity. In return, Meta can acquire up to 10% of AMD's shares. AMD struck a similar deal with OpenAI in October. Investors will hope that the AI boom can last.

A chip above

Share prices, May 1st 2025=100



Source: LSEG Workspace



Photograph: Getty Images

Romania's government collapses

In May last year, Nicușor Dan won Romania's presidential election. The centrist anti-corruption campaigner defeated George Simion, a MAGA-loving nationalist opposed to aiding Ukraine. Mr Dan's victory cheered the continent's liberals. But his time in office has been difficult. Romania has the biggest budget deficit in the European Union. A grand coalition of mainstream parties, which makes up the government, has struggled to agree on spending cuts.

Things turned for the worse on Tuesday when parliament passed a vote of no confidence against the prime minister, Ilie Bolojan. The centre-left Social Democratic Party, which pulled out of the coalition in April, played a decisive role in voting against Mr Bolojan alongside Mr Simion's Alliance for the Union of Romanians.

The fallout from the vote could prevent Romania from getting €11.4bn (\$13.4bn) in EU funds, which the bloc has made conditional on economic reform. It will not lead to Mr Simion becoming prime minister: Mr Dan will not appoint him. But the coalition's infighting could further fuel Romanians' dissatisfaction with the traditional parties—and support for Mr Simion.



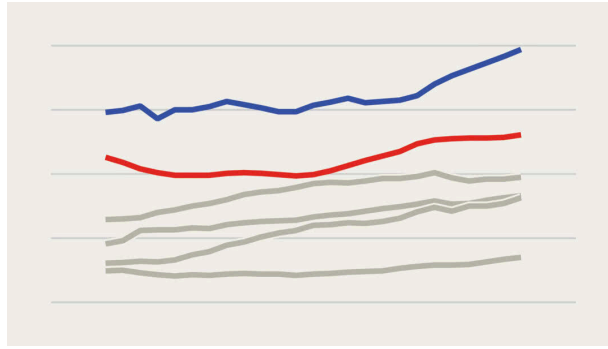
Photograph: Getty Images

UniCredit launches offer for Commerzbank

Shortly after Italy's UniCredit published its offer to take over Commerzbank, Germany's second-largest bank, at a €35bn (\$40bn) valuation, the bank reported record quarterly revenue. The deal has [been in the making](#) since September 2024, when UniCredit bought 9% of Commerzbank's shares. Over subsequent months, UniCredit built a stake worth roughly 30% in the German bank.

The bid has been met with resistance in Germany, from both unions and the government, which owns 12% of Commerzbank. Its bosses are opposed, too. Bettina Orlopp, its chief executive, argues the offer is in the interest of neither Commerzbank's shareholders nor its clients. On May 8th she will present Commerzbank's quarterly results, alongside a strategic plan.

Andrea Orcel, UniCredit's boss, is undeterred. He maintains that the acquisition is inevitable, arguing that potential synergies from UniCredit's German subsidiary, HypoVereinsbank, make the Italian bank the most suitable buyer. Mr Orcel hopes the tie-up will create a more profitable European powerhouse. Ms Orlopp has three days to set out her case and shareholders have four weeks to decide.



Photograph:

Data bite: East Asia's ageing workers

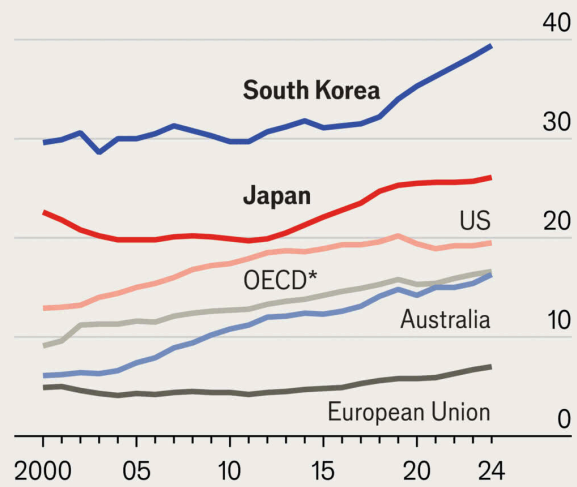
Across the OECD, a club of mostly rich countries, Japan and South Korea have the largest proportion of people over the age of 65 who are still employed. Nearly 40% of elderly South Koreans and more than 25% of those in Japan remain at work.

Many work out of financial necessity. Some use employment to stave off health problems and keep loneliness at bay. However widespread discrimination and a high demand for low-skilled labour often leave them with unappealing choices. Policymakers have a strong incentive to act: keeping older people in work longer helps offset shrinking numbers of young people in both countries.

[Read the full story.](#)

Working late

Labour-force participation rate,
aged 65 and over %



*Weighted average

Source: OECD



Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Tuesday: John Fogerty was the main songwriter of which rock group?

Monday: Which prog rock group was founded by Syd Barrett, Nick Mason, Roger Waters and Richard Wright?

*Life can only be understood
backwards; but it must be lived
forwards.*

Soren Kierkegaard